| Particulars | As on 31st March, 2018 ₹ | As on 31st March, 2019 ₹ |
|---|---|---|
| Inventory | 3,60,000 | 4,40,000 |
| Trade receivables | 7,40,000 | 6,60,000 |
| Trade payables | 1,90,000 | 2,30,000 |
| Fixed assets | 6,00,000 | 8,00,000 |

Additional information:

(i) Revenue from operations for the year ₹ 35,00,000

(ii) Purchases for the year ₹ 21,00,000

(iii) Cost of revenue from operations ₹ 16,00,000.

Assume that sales and purchases are for credit.

**(Answer: (i) Inventory turnover ratio: 4 times; (ii) Trade receivables turnover ratio: 5 times; (iii) Trade payables turnover ratio: 10 times; (iv) Fixed assets turnover ratio: 5 times)**

**Profitability ratios**

**13.** Calculate gross profit ratio from the following:

Revenue from operations ₹ 2,50,000, Cost of revenue from operations ₹ 2,10,000 and Purchases ₹ 1,80,000.

**(Answer: Gross profit ratio 16%)**

**14.** Following is the statement of profit and loss of Padma Ltd. for the year ended 31st March, 2018. Calculate the operating cost ratio.

**Statement of Profit and Loss**

| Particulars | Note No. | Amount ₹ |
|---|---|---|
| I. Revenue from operations | | 15,00,000 |
| II. Other Income | | 40,000 |
| **III. Total revenue (I +II)** | | **15,40,000** |
| IV. Expenses: | | |
| Purchases of Stock-in-trade | | 8,60,000 |
| Changes in inventories | | 40,000 |
| Employee benefits expense (Salaries) | | 1,60,000 |
| Other expenses | 1 | 1,70,000 |
| Total expenses | | 12,30,000 |
| **V. Profit before tax (III-IV)** | | **3,10,000** |

**Notes to Accounts**

| Particulars | Amount ₹ |
|---|---|
| 1. Other expenses | |
| Office and administrative expenses | 50,000 |
| Selling and distribution expenses | 90,000 |
| Loss on sale of furniture | 30,000 |
| | 1,70,000 |

**(Answer: Operating cost ratio 80%)**



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